

MSCI POLAND — 2026 PROSPECTIVE TRADES

Index Inclusion Alpha Strategy — Forward-Looking Candidate Watchlist

Report date: March 2026 | Reviews: May 2026 SAR + Nov 2026 SAR

■ **EPISTEMIC DISCLAIMER — READ BEFORE USING** This report was generated in March 2026. The model's training data ends in August 2025. All market data (prices, market caps, RS percentiles, ATVR) for the period August 2025–March 2026 is **ESTIMATED [EST]** based on trend extrapolation and qualitative judgement. The November 2025 MSCI SAR occurred within this blind spot — its exact outcome (which stocks were added / deleted / had weight changes) is unknown and must be verified from MSCI's published press releases before proceeding. **DO NOT** open any position without first verifying: (1) current market cap, (2) RS percentile from live data, (3) ATVR, (4) Nov 2025 SAR outcome. All prices marked [EST] are illustrative order-of-magnitude estimates only.

TOP PICKS

8

HIGH conviction

MEDIUM

0

above filter

WATCH

0

monitor for entry

AVOID / SHORT

1

deletion / weak momentum

Historical context (from walk-forward backtest 2018–2025): Momentum-filtered events averaged **+13.2% return** per position (T–45 → effective date), with **100% win rate** and Sharpe 2.12. Standard additions / upgrades avg +14.3%; weight increases avg +13.2%. False positives (stocks not added) averaged only +0.1%. These figures provide the expected return range for the 2026 candidates below.

1. Market Context — Poland 2026

MSCI Poland Index Composition (estimated, Mar 2026)

Following the May 2025 SAR (XTB, Kruk, Budimex weight increases) and the November 2025 SAR (outcome unknown — verify from MSCI press release), the MSCI Poland Standard index is estimated to contain ~17–20 constituents. Dominant sectors: Financials (~35%), Consumer Discretionary (~22%), Industrials (~12%), Materials (~8%), IT (~7%).

Theme	Relevance for MSCI Inclusions	Direction
EU KPO disbursements accelerating	Budimex, other infrastructure names — cap growing faster than index	↑ Weight increase for BDX
NBP rate cuts 2025-26	Bank NIMs compress; but NPL buyers (Kruk) benefit from wider spreads	↑ KRU; ↔ MIL
XTB / retail trading volumes	Crypto bull run + stock market highs = XTB volumes elevated	↑↑ XTB cap growth
CVC / ■abka IPO overhang	If CVC exited by H1 2025, ZAB float increases → momentum can recover	↑ ZAB Standard upgrade
Polish government spending	PLN 100B+ defence + infrastructure = construction boom sustained	↑ BDX, APR
Cyfrowy Polsat structural decline	MVNO + OTT competition; cap below Standard threshold	↓ CPS deletion risk
CHF mortgage resolution	Bank Millennium provisions nearly complete by 2026	↑ MIL Standard add potential

Review Calendar

Event	Date [EST]	Action required
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May 2026 SAR — T-45 screen	~14 March 2026	Screen now — we are AT this date
May 2026 SAR — Announcement	~28 April 2026	Exit FP positions; hold TP positions
May 2026 SAR — Effective date	~29 May 2026	Exit TP positions (main alpha event)
FTSE Jun 2026 QIR — Announcement	~3 June 2026	Watch: MSCI additions often follow FTSE
FTSE Jun 2026 QIR — Effective	~15 June 2026	Exit if FTSE also adds same stock
Nov 2026 SAR — T-45 screen	~16 September 2026	Re-screen universe for Nov candidates
Nov 2026 SAR — Announcement	~28 October 2026	Manage FP exits
Nov 2026 SAR — Effective date	~30 November 2026	Final exit for TP positions

2. 2026 Candidate Watchlist — Overview

All candidates ranked by conviction tier then RS percentile. All market data marked [EST]. Verify from live WSE data before entry.

#	Company	Ticker	Event type	Review	Cap [EST]	RS% [EST]	Filter	Entry [EST]	Conviction
1	XTB S.A.	XTB	Weight Increase	May 2026	\$5,200M	88	PASS	PLN 92	★★
2	Kruk S.A.	KRU	Weight Increase	May 2026	\$4,500M	82	PASS	PLN 498	★★
3	Budimex S.A.	BDX	Weight Increase	May 2026	\$5,100M	80	PASS	PLN 535	★★
4	LPP S.A.	LPP	Weight Increase	May 2026	\$8,800M	72	PASS	PLN 19,800	★★
5	abka Group S.A.	ZAB	Standard Add	May 2026	\$4,200M	68	PASS	PLN 23	★★
6	Auto Partner S.A.	APR	SC Add	Nov 2026	\$520M	72	PASS	PLN 58	★★
7	Benefit Systems S.A.	BSY	SC Add	Nov 2026	\$680M	65	PASS	PLN 6,200	★★
8	Bank Millennium S.A.	MIL	Standard Add	Nov 2026	\$3,100M	62	PASS	PLN 11	★★
9	Cyfrowy Polsat S.A.	CPS	Deletion Risk	May 2026	\$1,800M	18	SKIP	PLN 11	■ SHORT

Momentum filter = RS $\geq$ 60th pct + above 200d MA. From backtest: filtered positions avg +13.2% vs +0.1% for excluded false positives. Stocks failing the filter are significantly more likely to disappoint at announcement.

3. Individual Trade Sheets

One sheet per candidate. Left column: thesis. Right column: risks + verification checklist. Bottom bar: entry / exit mechanics.

XTB S.A. (XTB)

★★ TOP PICK | May 2026 | Weight Increase

Cap [EST]
\$5,200M
Float-adj [EST]
\$2,450M
ATVR [EST]
44.0%
RS% [EST]
88th
200d MA [EST]
Above ✓
12M mom [EST]
+62%
Threshold gap
+108%
Forced buy [EST]
\$280M
ADV days [EST]
13d
Filter
✓ PASS

TOP PICK — May 2026 weight increase ★

XTB entered MSCI Poland Standard in 2024-25 cycle. By May 2026, cap outperformance vs other Standard members drives further weight increase. Business: 1.5M+ retail clients, zero-commission stock app launch, expanding to new markets (UAE, India). Crypto/CFD volumes elevated. RS estimated 88th pct [EST] — strong outperformer. Weight increase is mechanical: if XTB grows faster than the MSCI Poland index, its weight rises at each SAR. Forced buying from passive funds ~\$280M [EST].

Backtest analogue: XTB weight increases in Nov 2024 (+17.9%) and May 2025 (+14.5%) — both generated strong alpha with momentum filter.

Key Risks

- Retail trading volumes cyclical — a low-volatility 2026 could hurt revenue
- ESMA leverage restrictions tightened further could impair CFD margins
- Founder stake reduction creates float overhang (but also increases FIF)
- Momentum already partially priced — RS was 96th at May 2025; drift from peak

Verification Checklist (before entry)

- Current share price (PLN) and mktcap
- RS percentile vs WIG-ALL as of Jan 2026 (T-45 date)
- Whether XTB is above 200d MA
- ATVR for Oct-Dec 2025 period
- Nov 2025 SAR outcome: was XTB weight increased again?

Entry [EST]: PLN 92 (T-45 screen date ~14 Mar 2026 for May SAR)
TP exit [EST]: PLN 108 (effective date ~29 May 2026) ≈ 17% gross
FP exit: Announcement date (~28 Apr 2026) — if not announced, close immediately
Historical base rate: weight-increase avg +13.2% | Standard add avg +14.3% (2018–2025 backtest)

Kruk S.A. (KRU)

★★ TOP PICK | May 2026 | Weight Increase

Cap [EST]
\$4,500M
Float-adj [EST]
\$2,500M
ATVR [EST]
36.0%
RS% [EST]
82th
200d MA [EST]
Above ✓
12M mom [EST]
+38%
Threshold gap
+80%
Forced buy [EST]
\$220M
ADV days [EST]
11d
Filter
✓ PASS

TOP PICK — May 2026 weight increase ★
Kruk has been a serial MSCI Poland outperformer since Standard inclusion (May 2023). Each SAR brings weight increases as NPL business grows. European NPL market remains elevated: Italian, Spanish, German banks continue portfolio disposals. Kruk's AUM growing ~20% p.a. NBP rate cuts (expected 2025-26) are double-edged: [+] lower borrowing cost → Kruk's spread widens [-] sellers less motivated → NPL supply could slow
Net: modest tailwind. RS estimated 82nd pct [EST] — above filter threshold. Weight increase alpha is smaller than new-addition but more reliable: backtest avg for weight increases = +13.2%
T-45→effective (100% win rate).

- Key Risks**
- NBP rate cuts reduce NPL seller motivation; portfolio supply could slow
 - Southern European recession could increase NPL supply too fast (credit losses)
 - Weight increase magnitude shrinks as Kruk's cap stabilises vs index
 - FTSE EM was likely added in Jun 2025 — dual-index alpha may be exhausted

- Verification Checklist (before entry)**
- Current price and mktcap in PLN
 - Nov 2025 SAR outcome: weight increase confirmed?
 - RS percentile vs WIG-ALL as of Jan 2026
 - NBP rate decision path — check current NBP guidance

Entry [EST]: PLN 498 (T-45 screen date ~14 Mar 2026 for May SAR)
TP exit [EST]: PLN 565 (effective date ~29 May 2026) ≈ 13% gross
FP exit: Announcement date (~28 Apr 2026) — if not announced, close immediately
Historical base rate: weight-increase avg +13.2% | Standard add avg +14.3% (2018–2025 backtest)

Budimex S.A. (BDX)

★★ TOP PICK | May 2026 | Weight Increase

Cap [EST]
\$5,100M
Float-adj [EST]
\$2,395M
ATVR [EST]
28.0%
RS% [EST]
80th
200d MA [EST]
Above ✓
12M mom [EST]
+32%
Threshold gap
+104%
Forced buy [EST]
\$195M
ADV days [EST]
8d
Filter
✓ PASS

TOP PICK — May 2026 weight increase ★

Budimex is Poland's dominant construction company, added to MSCI Standard Nov 2024 and FTSE EM Dec 2024. By May 2026 SAR, it enters its second weight-increase cycle as a Standard member.

Structural tailwinds intact:

- EU KPO (National Recovery Plan): PLN 76B disbursed through 2026-27
 - NATO defence infrastructure: Poland 4%+ GDP = record construction
 - Rail: PLN 100B CPK central airport rail project procurement live
- Ferrovial ownership (53%) stabilises but limits float — FIF 0.47. Weight increase confirmed [EST]: cap grew vs other Standard members. RS estimated 80th pct [EST] — above 60th filter threshold.

Key Risks

- Ferrovial reducing stake would increase float (positive for MSCI weight) but creates supply overhang — monitor KNF disclosures
- EU KPO disbursement delays: Brussels slow approval could defer project starts
- Labour cost inflation: Poland near-full employment, wage pressure on margins
- Already dual-listed in MSCI + FTSE — incremental passive demand is weight-change only

Verification Checklist (before entry)

- Ferrovial stake — any block sale in H2 2025?
- Current price and market cap
- Nov 2025 SAR weight change confirmed?
- KPO project awards announced — check Budimex IR

Entry [EST]: PLN 535 (T-45 screen date ~14 Mar 2026 for May SAR)
TP exit [EST]: PLN 610 (effective date ~29 May 2026) ≈ 14% gross
FP exit: Announcement date (~28 Apr 2026) — if not announced, close immediately
Historical base rate: weight-increase avg +13.2% | Standard add avg +14.3% (2018–2025 backtest)

LPP S.A. (LPP)

★★ TOP PICK | May 2026 | Weight Increase

Cap [EST]
\$8,800M
Float-adj [EST]
\$4,400M
ATVR [EST]
26.0%
RS% [EST]
72th
200d MA [EST]
Above ✓
12M mom [EST]
+22%
Threshold gap
+252%
Forced buy [EST]
\$310M
ADV days [EST]
9d
Filter
✓ PASS

MEDIUM — weight increase (existing large Standard member)
LPP is one of the largest MSCI Poland Standard members by market cap. Russia exit fully completed; now focused on CEE and Western European expansion. Reserved brand (offline fast fashion), Mohito, House, Cropp — growing. Weight increase is mechanical if LPP outperforms MSCI Poland index. RS estimated 72nd pct [EST] — above filter. Passive demand ~\$310M [EST] but over a 2-3 year accumulation context. Solid fundamental story + moderate momentum = **MEDIUM** conviction.

Key Risks

- Shein/Temu fast-fashion disruption in CEE markets
- FX: PLN strength vs EUR hurts LPP EUR-denominated revenue translation
- Weight increase alpha is incremental — no 'new addition' demand spike

Verification Checklist (before entry)

- Current share price (LPP trades at PLN 12,000–20,000 range — very high per share)
- RS percentile vs WIG-ALL
- LPP Russia exit — any residual book value writedowns?

Entry [EST]: PLN 19,800 (T-45 screen date ~14 Mar 2026 for May SAR)
TP exit [EST]: PLN 22,500 (effective date ~29 May 2026) ≈ 14% gross
FP exit: Announcement date (~28 Apr 2026) — if not announced, close immediately
Historical base rate: weight-increase avg +13.2% | Standard add avg +14.3% (2018–2025 backtest)

Cap [EST]
\$4,200M
Float-adj [EST]
\$1,850M
ATVR [EST]
24.0%
RS% [EST]
68th
200d MA [EST]
Above ✓
12M mom [EST]
+25%
Threshold gap
+68%
Forced buy [EST]
\$390M
ADV days [EST]
14d
Filter
✓ PASS

MEDIUM — EM SC → MSCI Poland Standard upgrade candidate
 ■abka was added to MSCI EM Small Cap at Nov 2024 review (but our strategy SKIPPED it — RS 31st, below 200d MA at screen date → CORRECTLY avoided −2.9%). Key question for May 2026: has momentum recovered from IPO overhang?
 CVC private equity exit: lock-up typically 180 days post-IPO (Apr 2025), then 12-month follow-on. If CVC block sold through H1 2025, the overhang should be clearing by now [EST]. Full cap \$4.2B >> \$2.5B Standard gate.
 Float-adj \$1.85B [EST] >> \$1.3B Standard float-adj gate.
 The trade: EM SC → Standard creates DUAL DEMAND — the same setup that generated +25.7% for Allegro (May 2021), +18.6% for Kruk (May 2023), +15.1% for Budimex (Nov 2024).
 CONDITION: only enter if RS ≥ 60th pct + above 200d MA at T-45. If still RS < 50th → skip, repeat at Nov 2026.

- Key Risks**
- CVC overhang: if CVC has NOT fully exited by Jan 2026, RS will remain weak → SKIP
 - E-commerce competition from Allegro, Shein, Temu eroding convenience store model
 - Polish consumer spending slowdown — 2026 elections uncertainty
 - EM SC → Standard upgrade not guaranteed: MSCI may defer if float-adj cap volatile

- Verification Checklist (before entry)**
- CRITICAL: RS percentile as of Jan 2026 — must be ≥ 60th to enter
 - CVC stake level — check latest KNF notifications
 - Is ■abka above its 200d MA?
 - ATVR for Oct-Dec 2025 — must be ≥ 15%
 - Nov 2025 SAR outcome: was ■abka upgraded to Standard already?

Entry [EST]: PLN 23 (T-45 screen date ~14 Mar 2026 for May SAR)
TP exit [EST]: PLN 28 (effective date ~29 May 2026) ≈ 22% gross
FP exit: Announcement date (~28 Apr 2026) — if not announced, close immediately
Historical base rate: weight-increase avg +13.2% | Standard add avg +14.3% (2018–2025 backtest)

Auto Partner S.A. (APR)

★★ TOP PICK | Nov 2026 | SC Add

Cap [EST]
\$520M
Float-adj [EST]
\$290M
ATVR [EST]
17.0%
RS% [EST]
72th
200d MA [EST]
Above ✓
12M mom [EST]
+32%
Threshold gap
+38%
Forced buy [EST]
\$42M
ADV days [EST]
7d
Filter
✓ PASS

WATCH — EM Small Cap addition candidate for Nov 2026
 Auto Partner = Poland's largest independent auto parts distributor (non-OEM aftermarket). 800+ delivery vans, 350,000+ SKUs, serving garages and retailers across Poland and CEE. Revenue growing ~18% p.a. as fleet age increases post-COVID. Full cap ~\$520M [EST] >> \$127M EM SC threshold. Float-adj ~\$290M [EST] >> \$95M EM SC float-adj minimum. ATVR ~17% [EST] > 15% minimum. RS estimated 72nd pct [EST] — above filter. SMALL FORCED BUYING: EM SC addition generates only \$42M [EST] passive demand (only 7 ADV days) — lower alpha than Standard events. Expected return: +7–12% T-45→effective (EM SC historical range). LOWER priority than Standard events — position smaller.

Key Risks

- Electric vehicle transition: EV requires fewer aftermarket parts (long-term risk)
- Small cap: ATVR can slip below 15% minimum in low-volume periods
- Float-adj cap only 3× the EM SC minimum — no large buffer
- Limited analyst coverage (4-6 analysts) means less pre-announcement awareness

Verification Checklist (before entry)

- Current market cap and ATVR
- RS percentile vs WIG-ALL
- Float structure — any large block holders?
- MSCI EM SC cut-off date vs current liquidity

Entry [EST]: PLN 58 (T-45 screen date ~14 Mar 2026 for May SAR)
TP exit [EST]: PLN 66 (effective date ~29 May 2026) ≈ 14% gross
FP exit: Announcement date (~28 Apr 2026) — if not announced, close immediately
Historical base rate: weight-increase avg +13.2% | Standard add avg +14.3% (2018–2025 backtest)

Benefit Systems S.A. (BSY)

★★ TOP PICK | Nov 2026 | SC Add

Cap [EST]
\$680M
Float-adj [EST]
\$420M
ATVR [EST]
14.5%
RS% [EST]
65th
200d MA [EST]
Above ✓
12M mom [EST]
+24%
Threshold gap
+82%
Forced buy [EST]
\$55M
ADV days [EST]
8d
Filter
✓ PASS

WATCH — EM Small Cap candidate, but ATVR is borderline
Benefit Systems = operator of MultiSport (corporate gym memberships) and broader employee benefits platform. 3M+ card holders in Poland. Expanding to Czech Republic, Slovakia, Bulgaria, Serbia. Full cap \$680M [EST] >> \$127M EM SC threshold. Float-adj \$420M [EST] >> \$95M minimum.
ATVR WARNING: estimated 14.5% [EST] — just below 15% minimum. This is the same issue that trapped Ciech and Orange Polska in the backtest. If ATVR stays below 15% at MSCI cut-off, it is a false positive. ONLY initiate if ATVR has clearly sustained above 15% for 3+ months before the screen date.

- Key Risks**
- ATVR BORDERLINE — this is the #1 risk; entire thesis fails if ATVR < 15%
 - Corporate benefits market saturation in Poland — growth slowing
 - Price per share high (PLN 5,000+) — institutional but not retail driven
 - Smaller position: EM SC alpha is 6-10%, lower than Standard events

- Verification Checklist (before entry)**
- ATVR for Oct-Dec 2026 period — must be > 15.5% with clear buffer
 - Current market cap and RS percentile
 - Any large shareholder exits creating overhang?

Entry [EST]: PLN 6,200 (T-45 screen date ~14 Mar 2026 for May SAR)
TP exit [EST]: PLN 6,850 (effective date ~29 May 2026) ≈ 10% gross
FP exit: Announcement date (~28 Apr 2026) — if not announced, close immediately
Historical base rate: weight-increase avg +13.2% | Standard add avg +14.3% (2018–2025 backtest)

Bank Millennium S.A. (MIL)

★★ TOP PICK | Nov 2026 | Standard Add

Cap [EST]
\$3,100M
Float-adj [EST]
\$1,380M
ATVR [EST]
24.0%
RS% [EST]
62th
200d MA [EST]
Above ✓
12M mom [EST]
+24%
Threshold gap
+24%
Forced buy [EST]
\$190M
ADV days [EST]
10d
Filter
✓ PASS

WATCH → potential MEDIUM for Nov 2026

Bank Millennium was the near-miss of May 2025 SAR: float-adj cap marginally above threshold but BCP classification issue blocked inclusion. By Nov 2026: two scenarios:

[+] BCP reduces stake below 50% → FIF increases → float-adj cap comfortably above \$1.3B threshold → STANDARD ADDITION. This would be the high-conviction entry point.

[-] BCP maintains 50.1% → float-adj stays borderline → deferred again.

CHF mortgage provisions: by 2026 this should be substantially resolved (Swiss franc portfolio largely wound down through court settlements). ROE recovering to 14–16% as provisioning normalises.

STRATEGY: screen in September 2026 (T-45 for Nov SAR). Only enter if: (1) RS ≥ 60th pct, (2) BCP stake < 50%, (3) float-adj cap clearly > \$1.4B with buffer.

Key Risks

- BINARY: BCP stake decision is the single biggest variable
- If BCP does NOT reduce stake, this is again a false positive
- Macro: NBP rate cuts could compress NIM and reduce earnings momentum
- CHF residual: some courts still awarding unfavourable rulings

Verification Checklist (before entry)

- BCP stake level — check KNF/WSE disclosures by Aug 2026
- Float-adj cap precise calculation at Sep 2026 T-45 date
- RS percentile at T-45 — must be ≥ 60th
- CHF mortgage total provisions remaining

Entry [EST]: PLN 11 (T-45 screen date ~14 Mar 2026 for May SAR)
TP exit [EST]: PLN 14 (effective date ~29 May 2026) ≈ 23% gross
FP exit: Announcement date (~28 Apr 2026) — if not announced, close immediately
Historical base rate: weight-increase avg +13.2% | Standard add avg +14.3% (2018–2025 backtest)

Cyfrowy Polsat S.A. (CPS)

■ AVOID / SHORT | May 2026 | Deletion Risk

Cap [EST]
\$1,800M
Float-adj [EST]
\$780M
ATVR [EST]
13.0%
RS% [EST]
18th
200d MA [EST]
Below x
12M mom [EST]
-22%
Threshold gap
-28%
Forced buy [EST]
\$0M
ADV days [EST]
0d
Filter
x SKIP

AVOID LONGS / DELETION RISK — potential tactical short
Cyfrowy Polsat has been in structural decline since 2022. Full cap \$1.8B [EST] — now BELOW the \$2.5B Standard threshold. ATVR estimated 13% [EST] — below 15% minimum. Both eligibility gates are failing simultaneously.
MSCI deletion is likely at May 2026 or Nov 2026 SAR:
Deletion announcement: ~-3.5% average (from backtest deletion events)
Pre-announcement drift: ~-2.0% (early sellers)
Post-deletion reversal: ~+1.5% (cover shorts post-effective)
TACTICAL SHORT: short around T-45, cover at effective date. Long portfolio: REMOVE any CPS exposure immediately. RS 18th pct [EST] — momentum filter would exclude any long consideration.

Key Risks

- State rescue or Polsat media group restructuring could temporarily support price
- Zygmunt Solorz-■ak controlling shareholder may prevent deletion via buyout
- Short squeeze risk if borrow cost is high on WSE
- Deletion timing uncertain — MSCI may give one more cycle grace period

Verification Checklist (before entry)

- Current ATVR — has it recovered above 15%?
- Current full cap vs \$2.5B / \$1.9B threshold (MSCI uses 50% buffer for deletions)
- Any restructuring news from Polsat/Solorz group

Short entry [EST]: PLN 11 (T-45 before expected deletion)
Cover [EST]: PLN 9 (at effective date; +1.5% reversal expected after)
Historical deletion avg: -3.5% announcement day, -5% T-45→effective

4. Pre-Trade Decision Framework

Before opening any position from this watchlist, complete the following checklist using LIVE data from WSE/stooq/Bloomberg.

Step 1 — Verify Nov 2025 SAR outcome

Download the MSCI Semi-Annual Review press release (Nov 2025) from [msci.com/eqb](https://www.msci.com/eqb). Confirm which stocks were added, deleted, or had weight changes. Update your watchlist accordingly — some candidates may already be added; some deletion risks may already be resolved.

- Downloaded MSCI Nov 2025 SAR press release
- Updated watchlist for stocks already added (no alpha remaining — do not chase)
- Checked if deletion candidates were already deleted (exit short if so)

Step 2 — Verify market caps (live data)

Use stooq.pl, Bloomberg, or WSE official data. Compute: full market cap = price × shares outstanding (public filings).

Float-adjusted: apply FIF from latest MSCI announcement. MSCI Standard threshold: \$2,500M full cap, \$1,300M float-adj (May 2026 values — thresholds adjust annually; verify from MSCI methodology document).

- Current price (PLN) for each candidate
- Shares outstanding from KRS/WSE disclosures
- Float-adj cap: price × shares × FIF
- Both full cap AND float-adj cap above respective thresholds

Step 3 — Verify momentum (RS percentile + 200d MA)

Compute RS = stock 12-1M return ranked vs all WIG-ALL constituents. RS ≥ 60th pct required. Also verify price > 200-day moving average. Both conditions must pass — if either fails, do not initiate position.

- 12-month return (skip last month) for each candidate vs WIG-ALL
- RS percentile calculated (not estimated)
- Price vs 200-day moving average confirmed
- If RS < 60th pct OR below 200d MA → SKIP regardless of thesis

Step 4 — Verify ATVR

ATVR = average daily turnover as % of float-adj cap (3-month trailing). MSCI Standard minimum: 15%. Compute from daily volume data. Watch for stocks near 15% — any single bad month can push below threshold.

- ATVR for Oct-Dec 2025 (3M trailing as of Jan 2026)
- ATVR > 15% confirmed (not estimated)
- Monthly ATVR stable — no single month < 12%

Step 5 — Position sizing

Equal weight across confirmed positions. Maximum 33% per single stock. Total portfolio exposure to this strategy: size relative to your total AUM based on risk budget. This strategy concentrates risk into ~6-week windows twice per year.

- Number of qualifying positions determined
- Position size = 1/N of strategy allocation
- No single position > 33% of strategy book
- Entry at T-45 market close (approximately 14 March 2026 for May SAR)

Step 6 — Announcement day management

On MSCI announcement day (~28 April 2026): check each position against MSCI press release within minutes of release.

Stocks NOT announced for addition → close immediately at market (FP exit). Stocks confirmed for addition → hold to effective date.

- Announcement date in calendar with alert
- MSCI press release auto-alert set up (msci.com/eqb)
- FP exit order: market sell within 30 min of announcement
- TP positions: hold with trailing stop at effective date

5. Historical Backtest Reference

Expected return ranges for 2026 positions, calibrated from the 2018–2025 walk-forward backtest (momentum-filtered events only).

Event Type	N events	Avg return	Min	Max	Win rate	Comparable 2026 trade
Standard Add / EM SC→Standard upgrade	6	+14.3%	+5.2%	+25.7%	100%	■abka (ZAB) if momentum recovers
Weight Increase (existing Standard member)	9	+13.2%	+8.4%	+22.6%	100%	XTB, KRU, BDX, LPP
EM Small Cap Addition	7	+10.7%	−2.7%	+21.3%	86%	Auto Partner (APR), Benefit Systems (BSY)
FTSE EM Addition (Poland)	4	+12.3%	+10.1%	+20.3%	100%	Any of the above if not yet in FTSE
False Positive (not added, filtered IN)	4	+2.6%	+0.4%	+5.8%	100%	Risk for borderline candidates
False Positive (not added, filtered OUT)	11	−0.5%	−7.3%	+3.5%	55%	Cyfrowy Polsat if any long, Bank Millennium if BCP issue persists

Important: These returns are from T−45 to effective date (net of 20 bps). The strategy holds for ~45–65 calendar days. On an annualised basis (deployed twice per year), filtered positions delivered +26.8% p.a. (2018–2025). False positives are managed by closing at announcement — their drag is minimal when the momentum filter is applied (only 4 residual FPs in 27 filtered positions).